

TERMS TO KNOW



NET ASSET VALUE (NAV)

Similar to buying 'Shares' of a company, we buy 'Units' while investing in mutual funds. If 'Share Price' is the price at which we can buy a company's share, the 'NAV' denotes the price at which we can buy one 'unit' of a mutual fund.

NAV



**TOTAL UNITS ISSUED BY
MUTUAL FUNDS**



**ASSETS UNDER
MANAGEMENT**

SHARE PRICE



TOTAL SHARES ISSUED



MARKET CAPITALIZATION

SCHEME SIZE



The size of a scheme is the total assets that are being managed under the scheme. This is also called an asset under management (AUM) by certain companies. The total number of units multiplied by the NAV would give us the AUM. Think of this as market capitalization as learned in the equity section.

Too small a scheme size increases the cost of managing the scheme and too large a scheme size limits the places that the company can effectively invest in.